

DON'T BE PAID LESS IN CLAIMS WHEN IT MATTERS. AVOID THE AVERAGE CLAUSE.

It is important that you provide us with an accurate declared value for your premises.

Not having the correct declared value from the start of the policy could have you exposed to underinsurance and the application of the average clause applied (found in your policy wording). The day one uplift protects you from inflation throughout the year and does not protect you from underinsurance.

The declared value is the monetary value found on your policy schedule which represents the cost of reinstating the buildings (including Value Added Tax, unless exempt) in the event of a loss.

Contents cover is another monetary value also provided on your schedule which also requires your attention to ensure the amount insured here is correct and on the correct basis.

So what do you need to do if you are unsure?

The most accurate way to obtain the correct declared value is to have a rebuild cost assessment carried out by a qualified RICS (Royal Institute Chartered Surveyors) surveyor who can come and visit your site to make a qualified assessment.

For contents you could consider creating an inventory of your items that you are looking to insure.

What could happen if you are under insured?

If at the time of damage, the declared value advised to us of the damaged buildings and/or landlords contents represents less than 85% of the actual declared value, then we will settle any claim at the percentage you are insured for.

For example, if the value of your buildings only represents 50% of the full value, then we will only pay 50% of your claim. This is known as 'average'.

For example:

You declare your building value at £500,000. At the time of claim your property declared value is found to be £1,000,000. This represents a 50% underinsurance. If the total value of the claim was £100,000, the average clause would reduce the settlement to £50,000 (50% of £100,000). This would leave you with an insured loss.

Disclaimer: the underinsurance scenario presented in this flyer is for illustrative purposes only. It does not represent a real event or provide a guarantee of coverage under any specific policy. Actual claim outcomes will depend on the individual circumstances of a claim and the terms, conditions and exclusions of the relevant insurance policy.

For any further questions or help sourcing a valuation service, please contact your broker.